Nature of Indian Economy

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Introduction

✓ **Mixed Economy:** India follows a mixed economic model with features of both **capitalism** (private ownership) and **socialism** (public sector).

✓ Transition from a **traditional agrarian economy** to a **modern industrial and service-based** economy.

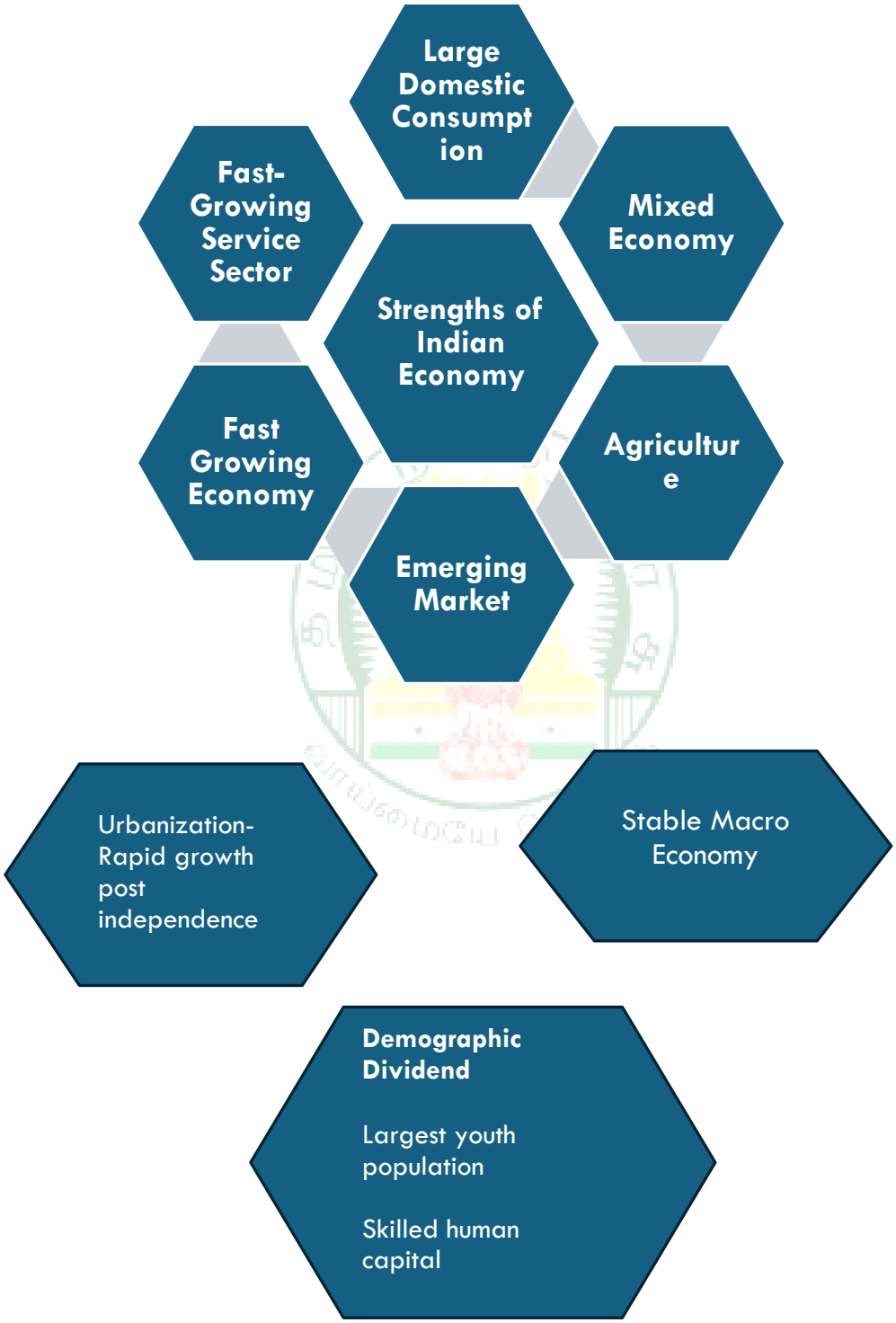
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Director,

Department of Employment and Training.

Strength of the Indian Economy



Weaknesses of Indian Economy

- Large Population
- Inequality and Poverty
- Rising Prices (Inflation)
- Infrastructure Gaps
- Inadequate Employment
- Outdated Technology
- Environmental Degradation
- Unemployment

Features of Indian Economy

Feature	Explanation
Mixed Economy	Co-existence of public and private sectors.
Agriculture Dominated	Post-independence, agriculture was the major source of livelihood.
Service Sector Dominance	Currently, services like IT, banking, and insurance contribute most to GDP.
Demographic Dividend	A large youth population — offers potential productive workforce.
Low Per Capita Income	Despite growth, average income is still lower than developed countries.
Regional Imbalances	Economic development is uneven across states.
Poverty & Inequality	A significant portion of population lives below the poverty line.
Dualistic Economy	Coexistence of modern sectors (e.g., IT) and traditional sectors (e.g., agriculture, handicrafts).

India – 4th Largest Economy (IMF 2025 Projection)

1. **IMF Projection (2025)**
   → India to overtake Japan by end of 2025
   → Will become 4th largest economy (Nominal GDP)
2. **GDP Growth Rate**
   → Fastest-growing major economy
   → Projected growth: **6.2% in 2025**
3. **Nominal GDP Rise**
   → GDP to cross **$4 trillion** by FY 2025–26
   → More than **doubled** in recent years
4. **Clarification by NITI Aayog**
   → Statement by CEO B.V.R. Subrahmanyam
   → Based on **IMF projections**, not final rankings

